

Culture's influence on leadership efficiency: How personal and national cultures affect leadership style

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Abstract

Personal and national cultures derive from peoples' personal values and pervade the role of effective management leadership and successful firm performances. This paper explores the differences of the two aspects of cultures on effective leadership. Researchers now hold that the Porterian analysis of competitive advantage has become fungible due to the entry of myriad international competitors. Effective leadership style is now the single most important antecedent in maintaining competitive advantage and in supporting firm performances. The researchers collected data on CEOs using Schwartz's framework, in three EU countries. They state hypotheses, test them and derive implications and conclusions. © 2006 Elsevier Inc. All rights reserved.

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A relationship exists between managers' personal values, their leadership styles and organisational culture (Sackmann, 1991; Schein, 1991; Deal and Kennedy, 1982; Selznick, 1957). Barbosa (1997) suggests that the formation of personal values among business leaders is a priority over efforts to implement concepts such as 'total quality management' and strategic management. Many firms are now in global alliances that depend upon flexibility and adaptability to local markets, requiring their managers to possess appropriate leadership styles to cope effectively with different value systems and cultures, in international management (Fahy, 2002; Coviello et al., 1998). The literature gives wide consideration as to how personal and national cultures influence leadership efficiency in the field of management. Culture, an essential component of which is personal values (Kroeber, 1952; Kluckhohn, 1949), is now at centre stage (George et al., 1998; Nakata and Sivakumar, 1996; Steenkamp et al., 1999; Cadogan et al., 2001), in the context of analysing the role of leadership in maintaining firm sustained competitive advantage and superior international performance (Kimber, 1997; Jackson and Aycan, 2001; Pfeffer, 2002). An investigation of managers' personal values and their cultural

antecedents is necessary to understand the leadership of individual managers and their potential to influence competitive advantage (Erbring and Young, 1979).

Personal and national culture depend essentially on personal values (Kroeber, 1952; Triandis, 1989, 1990; Triandis et al., 1988; Hofstede, 2001), which gives rise to a leadership style, an effectiveness dependent on the leader's 'bundle of values' (White, 1993). Leaders' personal and cultural values are measurable (Schwartz, 1992, 1994) and they imbue and underlie the performance of the firm. Vroom and Yetton (1973) link personal values and firm performance mediated by leadership style and consequent effectiveness on business. Scholars now consider the Porterian view of competitive advantage as passé (Porter, 1985), as such advantage has increasingly become fungible due to the entry of myriad international competitors with similar products. Leadership style and consequent effectiveness on business is the single most important antecedent in maintaining competitive advantage and in supporting firm performance (Pfeffer, 2002). Values are the criteria leaders use to select and justify personal actions and decisions and to evaluate people and events (Kluckhohn, 1951; Kroeber, 1952; Williams, 1968; Rokeach, 1973; Schwartz, 1992). Acknowledgement of the role of personal and cultural values is essential to understand the effectiveness and influences of management leadership style, particularly in cross-cultural settings.

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Performance in international marketing is a function of both managers' style (White, 1993; Kroeber, 1952) and the technology and facilities under management (Drucker, 1985). The authors used anthropological concepts and the facet theories of Schwartz (1992, 1994) in this paper to overcome the inadequacies of research in the measurement of international business performance. These concepts and the work of Schwartz with respect to managers' personal and cultural values, provide a new understanding of the concept of firm performance. Managers' personal and cultural values and other hard and soft variables express and measure the concept of cross-cultural firm performance.

Research objectives:

1. To compare and assess the separate roles which personal and national culture play in the mediation of management leadership style
2. To assess the role management leadership style plays on the firm's international performance.

Research questions:

1. Does a plurality of successful leadership styles exist?
2. What differences exist between the influence of personal and national culture on leadership style?
3. What effect has management leadership style on firm international performance?
4. What are the quantifiable mediative roles of personal and cultural values on management leadership style?

1. Conceptual framework

This article refers to firm performances, which are a function of leadership style, (Kroeber, 1952; White, 1993) to measure the mediating influences of both personal and national culture on leadership style. Reflecting the centrality concept of values (Rokeach, 1973), personal values, stimulating and constraining, provide an understanding of how people perceive opportunities and threats in their environment. Schumpeter (1991) predicted that leadership styles, dependent on managers' adherence to certain values, say 'creativity', would motivate managers to avoid 'adaptive' solutions to managerial problems, that is, solutions without much forethought and to seek 'creative' solutions, thereby replacing the sub-optimal outcome with the optimal.

1.1. Personal and cultural values and leadership style

Leaders make themselves through personal mastery rather than being made to order (Senge, 1990; Lewin, 1951). Leaders exhibit a self-organizing capacity surviving the despair created by events such as change, chaos and information overload (Wheatley, 1999; Collins and Porras, 1994). For Schwartz (1992) and Schwartz and Sagiv (1995) leadership styles reflect different relative strengths of universal robust sets of personal and cultural values, from which they derive ten motivationally distinct types of personal values and seven distinct types of cultural values, that both on a personal and cultural level reflect a related continuum of values. Four higher order domains that form two bi-polar

personal dimensions: 'openness-to-change' vs. 'conservation' and 'self-transcendence' vs. 'self-enhancement', organize the dimensions of personal value types. Two bi-polar cultural dimensions similarly describe the cultural value types namely, 'affective' and 'intellectual autonomy' vs. 'conservation' and 'egalitarian commitment' and 'harmony' vs. 'hierarchy and 'mastery'. Through their environment of national cultural dimensions individual members of a society internalize the personal dimensions designated 'bundles of personal values' (Schwartz, 1992, 1994; White, 1993).

1.2. The gestalt quality of bundles of personal values

A bundle of personal values has a gestalt quality (Fronzizzi, 1971). This new quality lends further influence to personal values that underlie and empower management leadership style. The bundle of managerial founders' personal values is one of the main factors which, through the mediation of leadership, gives rise to the enculturation of firms (Ralston et al., 1997; Van Maanen, 1991; Triandis, 1990; Young, 1989; Erbring and Young, 1979; Vroom and Yetton, 1973; Whyte, 1955). A founder's values has the 'biggest impact' on the organization's culture and business success (Schein, 1991).

By defining the personal style of leaders 'as a consistent way of behaving or as doing things carefully chosen from alternative ways of doing', Kroeber (1952), argues that leadership style is selective with reference to personal values. This speculation gives rise to the idea that personal values related to the same performances of cross-cultural managers would demonstrate the characteristic of plurality. In this context could the remarks of Schumpeter (1991), mentioned above, suggest that while management leadership style is pluralistic, less 'creative' and more 'conservation' styles (Schwartz, 1992) lead to weaker performance among high performing firms?

Schwartz (1992) identifies 57 personal values which form the universal set of values possessed by individuals. Schwartz (1994) identifies a subset of 45 of these values as pertaining to national culture. National cultural values reflect the psychological dynamics of conflict and compatibilities that society portrays in the course of everyday living. National culture is essentially the integrated personal values of people in society and reflects aspects of their personal culture integrated in a national identity. While Schwartz (1994) suggests that personal values reflect strongly in cultural values, he underlines the fact that cultural products, such as folktales also inform the latter.

National cultural values, characteristic of where the firm operates, may have a greater influence on management leadership style, than managers' personal values and situational variables.

1.3. Research hypotheses

- H₁.** Successful leadership style is pluralistic.
- H₂.** Pluralistic successful leadership styles contains a spectrum of decreasing successful firm performances.
- H₃.** Personal and cultural level values differ in their mediation effect on leadership style.

H₄. Personal values are less dominant quantitatively than cultural level values in their separate mediating roles on manager leadership style.

2. Method

2.1. Measurement of variables

Hard variables of the firms, such as sales and gross profit, highly correlate with soft variables of the firm, such as managers' cultural and personal values (Shoham, 1998), which suggests that both indicators may be measuring the same theoretical construct (Styles, 1998; Dess and Robinson, 1984). Both the soft and the hard variables of the firm should apply to the measurement of performance. Since managers do not easily disclose the yearly average increase in profits from their export and overall business (Katsikeas et al., 1997), how well the firm functions in achieving overall and international corporate goals and objectives against defined standards defines overall and international business performance (Dolton et al., 1980; Cavusgil and Zou, 1994; Styles, 1998; Shoham, 1998).

The authors used the average yearly increase in overall and international sales over a continuous five-year period to measure overall and international performances.

Schwartz's (1992) universal robust set of personal values (57 personal values and 45 cultural values), underpins his questionnaire which measures the personal values and personal culture of the questionnaire's respondents (Whyte, 1955; Rokeach, 1973; Young, 1989; Sackmann, 1991; Frost et al., 1991; Van Maanen, 1991; Schein, 1991; Schwartz, 1992, 1994).

Two variables computed to measure leadership style, namely, 'Leadpval' and 'Leadcval' represent leadership style mediated by managers' personal values ('Leadpval') and leadership style as mediated by cultural values ('Leadcval'). Schwartz's personal and cultural values influence the computation of both 'Leadpval' and 'Leadcval'.

2.2. Data collection — countries and firms

Databases listing indigenous international firms in three European Union countries identify sample firms. The unit of measurement is the firm. The EU is the largest free-trade area of the world and the countries chosen, Denmark, Finland and Ireland are among the world's most open economies and highly dependent on international trade, with populations ranging from four to five million inhabitants in each. Table 1 shows the industrial profile of the sampled firms in the three countries. Completed questionnaires represent 159 firms — Denmark (34),

Table 1
Profile of industries in Finland, Denmark and Ireland

Industry type	Finland (%)	Denmark (%)	Ireland (%)
High technology	21.74	35.79	38.05
Resource based	36.80	29.78	15.44
Traditional	36.20	24.85	45.42
Services	5.26	9.58	1.09
Total	100.00	100.00	100.00

Table 2
Cross-product deviations analysis

Personal values	Personal value type	Cross-product deviation
Creativity	Self direction	50.8485
Social recognition	Power	−42.5970
A spiritual life	Benevolence	−67.2388
Sense of belonging	Security	−34.4478
Independent	Self direction	−31.7015
Loyal	Benevolence	35.4925
Broadminded	Universalism	33.1045
Influential	Achievement	31.7273
Choosing own goals	Self direction	33.6119
Health	Security	−30.3433
Accepting my position in life	Tradition	−67.1642
Responsible	Benevolence	34.4242
Curious	Self direction	36.7761

Note: Cross-product deviations ($>\pm 30$) of correlations between overall performance (dependent variable) and Irish managers' personal values (independent variables).

Finland (58), and Ireland (68). The confidence level of the data tested to exceed 95%.

2.3. Statistical analysis

The study uses a Pearson bivariate analysis, for each of the three countries, between overall and international performance (dependent variables) and the 57 Schwartzian personal values (independent variables), to identify the personal values that correlate with overall and international performance, for each country.

Table 2 shows the cross product deviations for Irish managers' personal values (independent variables) and overall firm performance (dependent variables).

They repeated the exercise for Irish managers' personal values (independent variables) and international performance (dependent variable). The highest absolute values of a cross product deviation analysis (Byrne and Bradley, 2005) determines the 'bundle' (White, 1993) of personal values (13) that forms the core of Irish managers overall leadership style and the 'bundle' of personal values that relate to Irish managers' international performance style. The authors applied factor analysis using principal component analysis and varimax rotation to each of the

Table 3
Factor analysis of Irish managers

Contribution to variance				
Factor 1	Factor 2	Factor 3	Factor 4	Factor 5
21.4%	12.9%	12.4%	10.5%	9.3%
Creativity (0.83)	Independent (0.77)	A spiritual life (0.70)	Loyal (0.57)	Social recognition (0.85)
Broad-minded (0.71)	Choosing own goals (0.71)	Accepting my position in life (0.77)	Health (0.67)	Sense of belonging (0.67)
Curious (.82)	Influential (0.68)		Responsible (0.70)	

Note: 13 overall performance oriented personal values.

Table 4
Schwartz bi-polar characteristics of Irish overall firm performance oriented managers

Managers' bi-polar personal value dimensions	Personal value types	Personal values (correlation coefficients)	Factor (% variance)	Calculation for each bi-polar personal value dimension*
(A)	(B)	(C)	(D)	
(E) Openness to change	Self direction	Creativity (.83)	F1 (21.4%)	$(21.4 \times 0.83) + (12.9 \times 0.77) +$
	Self direction	Independent (.77)	F2 (13.9%)	$(12.9 \times 0.71) + (21.4 \times 0.82) = 54.410$
				$55.162 / 131.662 = .419$
				$.419 \times 100 = 41.9\%$
(F) Conservation	Self direction	Choosing own goals (.71)	F2 (12.9%)	(E)
	Self direction	Curious (.82)	F1 (21.4%)	
	Security	Sense of belonging (.67)	F5 (9.3%)	$(9.3 \times 0.67) + (10.5 \times 0.67) +$
				$(12.4 \times 0.77) = 22.814$
(G) Self-transcendence	Security	Health (.67)	F4 (10.5%)	$22.814 / 131.662 = .1732$
				$1732 \times 100 = 17.32\%$
	Tradition	Accepting my situation (.77)	F3 (12.4%)	(F)
	Benevolence	A spiritual life (.70)	F3 (12.4%)	$(12.4 \times 0.70) + (10.5 \times 0.57) +$
(H) Self-enhancement				$(10.5 \times 0.70) + (21.4 \times 0.71) = 37.009$
	Benevolence	Loyal (.57)	F4 (10.5%)	$37.009 / 131.662 = .2811$
				$.2811 \times 100 = 28.11\%$
	Benevolence	Responsible (.70)	F4 (10.5%)	(G)
(H) Self-enhancement	Universalism	Broadminded (.71)	F1 (21.4%)	
	Power	Social recognition (.85)	F5 (9.3%)	$(9.3 \times 0.85) \times (12.9 \times 0.68) = 16.677$
				$16.677 / 131.662 = .1267$
	Achievement	Influential (.68)	F2 (12.9%)	$.1267 \times 100 = 12.67\%$
				(H)

Note: * Σ total of correlation coefficients for each personal value $\times$ % variance for each factor (C $\times$ D), divided by the sum of the calculations for all 4 bi-polar personal values (E + F + G + H).

identified 'bundles' of personal values, using a minimum correlation coefficient for the analysis of 0.25.

Table 3 shows the five rotated factors for Irish managers' overall performance oriented personal values.

A calculation of the bi-polar personal value dimensions of Irish managers, oriented towards overall performance, results from using the five factors of Table 3, the correlation coefficients of each personal value and the percentage contribution to variance of each factor. Table 4 shows the bi-polar personal value dimensions of Irish managers oriented towards overall performance.

The factors relating to international performance give the bi-polar personal value dimensions of Irish managers orientated towards international performance. Similar analyses result in the bi-polar value personal values of Finnish and Danish managers

for both international performance and overall performance. Table 5 shows the bi-polar personal value dimensions of Irish, Finnish and Danish managers, for overall and international performances. Table 5 also shows the proportion of firms in each of the three countries with international performance greater than 10% each year.

The cultural values that correlate with international performance for the three countries combined derive from a Pearson bivariate analysis between international performance (dependent variable) and the 45 Schwartzian cultural values (independent variables). The personal values that correlate with international performance for the 3 countries combined, derive from a Pearson bivariate analysis between international performance (dependent variable) and the 57 Schwartzian personal values (independent variables).

Table 5
Comparison of managers' bi-polar personal value dimensions — three countries

Countries	Proportion of firms with overall performance > 10%	Bi-polar personal values influencing performance	Openness-to-change	Conservation	Self-transcendence	Self-enhancement	Total
			%	%	%	%	%
Finland	54.5%	Overall	6.20	37.21	28.07	28.52	100
		International	16.60	34.05	26.70	22.65	100
		Mean values	35.47	14.97	32.51	17.05	100
Denmark	41.2%	Overall	17.60	40.37	18.92	23.11	100
		International	0.00	78.29	0.00	21.71	100
		Mean values	4.36	27.07	52.66	15.51	100
Ireland	64.2%	Overall	41.90	17.32	28.11	12.67	100
		International	36.09	36.36	16.49	11.05	100
		Mean values	10.95	30.89	37.04	21.12	100

Note: Managers bi-polar personal value dimensions oriented towards performances (overall and international > 10%) and average bi-polar value dimensions (3 individual countries).

Table 6

Factor analysis of the correlates and covariates of personal and national cultural values with international performance*

Pearson correlation coefficient (Significance) and covariates of international performance	Factor analysis of personal values correlated to international performance and their factor loadings (including % contribution to variance)	Factor analysis of cultural values correlated to international performance and their factor loadings (including % contribution to variance)
Protecting the environment 0.169; (.035)	Factor 1: **A world of peace 0.785; protecting the environment 0.673; unity with nature 0.602; honest 0.521; social justice 0.529; family security 0.503; humble 0.453; inner harmony 0.450 (33.84%). Factor 2: A varied life 0.772; curious 0.770; creativity 0.700 (11.06%). Factor 3: **True friendship 0.728; a world of beauty 0.636; enjoying life 0.655 (7.86%).	Factor 1: **Unity with nature 0.779; protecting the environment 0.767; a world of beauty 0.738; a world of peace 0.672; social justice 0.601; curious 0.588; helpful 0.540; family security 0.501; creativity 0.488; enjoying life 0.442 (33.16%). Factor 2: A varied life 0.642; humble 0.378 (10.47%). Factor 3: National security .0565 (8.29%). Factor 4: Loyal 0.655; honest 0.514. (7.47%).

Note: *3 countries/159 cases — Finland, Denmark and Ireland.

** Principal surrogate variable of the covariate bundle.

Both analyses identified the common correlate as the personal value ‘protecting the environment’. The analyses also identified the covariates of this personal value in the set of 57 personal values and also in the set of 45 cultural values. Table 6 shows the common correlate value of the personal and cultural analyses, ‘protecting the environment’, and the covariates of both analyses. The authors applied factor analysis to the bundles of values of both analyses, that is, the correlate and its covariates. Three factors result in the case of the personal values and four factors resulted in the case of the cultural values. Table 6 shows these factors, their contribution to variance and the loading factors of the personal and cultural values.

The use of the saved factor variables (Table 6) simplified the empirical analysis which follows, in the context of using surrogate variables as proposed by Hair et al. (1998). The saved variables replaced both the use of the common correlate variable (the value ‘protecting the environment’) at the personal and cultural level and the covariates of the personal and cultural analyses. The covariate value of highest loading in Factor 1 (Table 6), which in both analyses is the factor which contributed most to variance nominated the surrogate. Based on this selection criteria the surrogate variables for both the personal and cultural analyses are ‘a world of peace’ (Factor 1 and loading factor 0.785) and ‘unity with nature’ (Factor 1 and loading factor 0.779) respectively.

An amalgam of the correlate value ‘protecting the environment’ and the covariate value ‘a world at peace’ computed as the variable ‘Leadville’ (see above). An amalgam of the correlate value ‘protecting the environment’ and the covariate value ‘unity with nature’ computed as the variable ‘Leadval’ (see above).

2.4. Hypotheses testing

2.4.1. Hypothesis H_1

The findings support the hypothesis H_1 that successful leadership style is pluralistic. Leadership styles vary widely (Table 5). Irish managers, in regard to overall and international performances, portrayed a very high ‘openness-to-change’ style in

comparison to both Danish and Finnish managers, who demonstrated a very high ‘conservation’ style with low ‘openness-to-change’. Furthermore, both the successful Irish and Finnish styles were the opposite of the average country style in Finland and Ireland. The average Irish style is high in ‘conservation’ as compared to the ‘openness-to-change’ style of the successful manager. The average style in Finland on the other hand is ‘openness-to-change’ as compared to the ‘conservation’ style of the Finnish successful manager. Leadership styles based on personal values are pluralistic and vary from country to country which confirms Kroeber’s (1952) speculation regarding the pluralistic character of leadership styles based on personal values.

2.4.2. Hypothesis H_2

The findings support the hypothesis H_2 that a pluralistic successful leadership style contains a spectrum of decreasing successful firm performance. The statistical analysis which led to Table 5 shows that the leadership style, with respect to success, in each of the three countries is different. The conservative styles of Finland and Denmark are different. Danish style is high on ‘conservation’ compared to Finnish style. As reported in Table 5, the percentage of successful firms with >10% international performance decreases related to the level of ‘openness-to-change’ encountered in each of the three countries successful managers. Ireland had 64.2% successful managers at >10% international performance, Finland 54.5% and Denmark 41.2% at the same level of international performance. With respect to international performance the levels of ‘openness-to-change’ were 40% (Ireland), 17% (Finland) and 0% for Denmark. International performance leadership styles, shows for firms at >10% international performance, a higher percentage of these firms with ‘openness-to-change’ in their leadership styles in the three countries.

2.4.3. Hypothesis H_3

The findings support the hypothesis H_3 that personal and cultural level values differ in their mediation effect on leadership style. Table 6, shows a comparison of the Pearson bivariates

analyses of international performance (dependent variable) and the Schwartzian personal and cultural values (independent variables). This table shows that the variate, ‘protecting the environment’ (a personal and cultural value) was common to both the personal and cultural level analyses. The covariates of ‘protecting the environment’ however, were not common to both. An analysis of Table 6 shows that the resultant bundle of personal values, that mediate leadership style, was different to the bundle of cultural values, which mediate leadership style. The personal value ‘inner harmony’, a covariate of ‘protecting the environment’, in the personal value analysis was not a covariate in the cultural value analysis. The computed variables therefore of ‘Leadpval’ and ‘Leadcval’ are substantially different. Their mediation influences on leadership style would be different and these computed variables would influence ‘international performance’ with different results.

The mediating influence of personal and cultural values on leadership style is different. The influence of both personal and cultural values would not be equal in their mediation effects on leadership style.

2.4.4. Hypothesis H_4

The findings support the hypothesis H_4 that personal values will be less dominant quantitatively, than cultural level values in their separate mediating roles on manager leadership style. A logistic regression analysis between the dependent variable ‘international performance’ (‘Interpf’) and the personal and cultural variables ‘Leadpval’ and ‘Leadcval’ (independent variables) tested this hypothesis. The basis of logistic regression is the general form equation:

$$P = k / (1 + e^{-z})$$

Where:

k	The theoretical value
z	A regression function
e	The base of the natural logarithm

If k is equal to one and z is very large, then $p=1$ and when z is zero then $p=0.5$. Logistic regression requires categorical (cat) variables to maximize discrimination potential between variables. Using the frequency distributions of ‘Leadpval’, ‘Leadcval’ and ‘International performance’ (Interpf), the authors transformed these same variables into categorical (cat) variables. The logistic equation requiring solution was now:

$$\text{Interpf} = B_a(\text{Leadpval}(\text{cat})) + B_b(\text{Leadcval}(\text{cat})) + C$$

Where:

Interpf (cat)	International performance (cat)
Leadpval (cat)	Surrogate personal value orientation of management leadership style (cat)
Leadcval (cat)	Surrogate cultural value orientation of management leadership style (cat)
B_a B_b	Regression coefficients
C	Constant

Table 7
Logistic regression analysis

Independent variable	Dependent Variable	Wald Statistic (significance)	R^2
Interpf (cat)	Leadpval (cat)	1.916 (0.159, $df=1$)	–0.0130
Interpf (cat)	Leadcval (cat)	4.606 (0.032, $df=1$)	0.0321

Table 7 shows the results of the logistic regression analysis. The results show that ‘Leadcval (cat)’ (Wald statistic 4.406) is a more influential independent variable than ‘Leadpval (cat)’ (Wald statistic 1.916), as a mediating variable on leadership style.

3. Findings

3.1. Cultural values

The mediation effects of personal values and cultural values on manager leadership style are different. Cultural values are the more influential values in the mediation process. An examination of the Wald statistics in Table 7 above show cultural values to account for 70% (approximately) of the mediation effect on managers’ leadership style (Wald Numbers ratio: –1.96:4.606).

3.2. Leadership style

Leadership style plays a major role in the management and success of international and global business. A manager’s national culture plays the dominant role in the ultimate success of international and global business, through the mediation of his/her cultural values on leadership style. This finding suggests the assignment of critical leadership roles in the international arenas of international and global firms to indigenous management. The personal value having most influence on personal and cultural values, in the context of international performance, is ‘protecting the environment’. This value pertains to the bi-polar personal value of ‘self-transcendence’ (Schwartz, 1992). Furthermore, management styles comprising transcendence and sociocentric styles are more influential in achieving the goals of strategic planning than egocentric styles (Cowan and Todorovic, 2000). A plurality of personal values (Kroeber, 1952) forms successful management and leadership styles across cultures. Managers take different approaches in different cultural environments with respect to leadership and firm performances. The finding, for example, that successful styles abound, is relevant when integrating different leadership styles in cross-cultural strategic alliances, especially joint ventures. Opposing successful styles comprising polar opposites carry more potential for achieving higher performances (Ralston et al., 1997). This suggests that the success of joint ventures depends on agreement between the partners of highlighted and understood differences in their separate successful leadership styles. Anecdotal evidence of a joint venture failure between Corning Glass (USA) and Vitro (Mexico) related to different perceptions of time, supports this view (George et al., 1998). The management of divergent styles among joint venture partners, however, raises the potential for higher performance, a conclusion reinforced by Nakata and

Sivakumar (1996), who report that Toyota use decentralized R&D programs and operate in different countries to bring together the synergy of divergent cultures to maximize new product development, thereby successfully managing a plurality of styles. A view also confirmed by LaBahn and Harich (1997) in their study of Mexican and US trading firms.

Among successful Irish firms, leadership style is very high on 'openness-to-change', while Finnish leadership style is high on 'conservation'. The styles of average performing Irish and Finnish managers are also divergent and opposed to managers' styles in successful firms. The leadership style of average performing Irish firms is high on 'conservation' in contrast to the leadership style of high performing firms, which is high on 'openness-to-change'. The leadership style for average performing Finnish firms is high on 'openness-to-change', in contrast to the leadership style of high performing firms, which is high on 'conservation'. In Denmark the styles of average performing firms and high performing firms are convergent that is, they are both high on 'conservation' and low on 'openness-to-change'. 'Speculatively the respective socio-economic histories of different countries may account for the contrasting successful leadership styles of their respective managers. The authors found the average population of Ireland in this research conservatively inclined, which matched a population ravaged by famine in the 19th century, leaving Ireland a poor country until well into the 20th century. In the average population of Finland on the other hand, the authors found inclined to 'openness-to-change' which matched a population, colonized at different historical times, by two powerful neighboring nations, namely Sweden and Russia, creating an expectancy of hope of change that would influence their socio-economic status forever. This change occurred with the collapse of communism and the advent of Finland's entry into the European Union, in the final decade of the 20th century.

3.3. Sustained competitive advantage

The results show that 'protecting the environment' is the variate of both international and overall performances. This suggests that managers have a conviction of the merits of non-pollution of the earth, the need for energy policies and the general desirability of a 'green-fingers' approach to business. The bundle of covariates of 'protecting the environment', in the cultural values analysis, with the highest loading factors are 'unity with nature' (0.78), 'a world of beauty' (0.74), 'a world of peace' (0.67), 'social justice (0.60) and 'helpful' (0.54). These all pertain to the bi-polar value dimension 'self-transcendence' which gives rise to enhanced strategic planning and firm performances (Mintzberg et al., 1998).

4. Conclusions

Personal and cultural level values among other situational variables play an important role in the mediation of management leadership style. The bundles of personal and cultural level values that relate to 'international performance' are different. The cultural level values have greater influence in the mediation process of leadership style, suggesting a strategy of deployment

of management of international and global firms in different world cultures.

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